

Cipla Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.cipla.com/
Sector	nan
Market Cap	439,803.15 Cr
PE Ratio	59.75
PB Ratio	5.93
Dividend Yield	0.12 %

Financial Quality

ROE	16.8
ROCE	22.8
CFO Quality	High Quality
FCF CAGR	nan%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Growth Focused
Debt Trend	Deleveraging
Leverage	Low

Business Overview

Cipla is engaged in the Business of Pharmaceuticals.(Source : 202003 Annual Report Page No:157)

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Risks

Operating margins declining for 3 consecutive years suggest pricing or cost pressure.